Project 1 — Edition A Valuation Baseline

Decision and intended user

As of September 1, 2026, I recommend that a long-term growth investor defer initiating a position in Palantir Technologies Inc. (NASDAQ: PLTR), because its exceptional revenue growth, profitability, and debt-free balance sheet support a strong business outlook, but its high forward valuation leaves too little margin of safety if growth slows.

Initial thesis: Watch/defer.

Intended user: A long-term growth investor considering whether to initiate a position in PLTR.

Company and valuation date

- Company: Palantir Technologies Inc.
- Ticker: PLTR
- Valuation date: September 1, 2026
- Primary filing: Form 10-Q for the quarterly period ended June 30, 2026
- Accession number: 0001321655-26-000041
- Filing date: August 4, 2026
- Filing locator: https://www.sec.gov/Archives/edgar/data/1321655/000132165526000041/pltr-20260630.htm

Known evidence

Unless otherwise noted, financial-statement figures below are in thousands of U.S. dollars, except per-share data, and come from Palantir's Form 10-Q for the quarter ended June 30, 2026.

- Cash and cash equivalents were $2,030.047 million as of June 30, 2026.
- Marketable securities were $7,379.052 million as of June 30, 2026.
- Cash plus marketable securities totaled $9,409.099 million. Whether all marketable securities count as excess cash is a consequential bridge assumption.
- Palantir had no outstanding debt under its $500 million revolving credit facility as of June 30, 2026.
- Revenue was $1,935.464 million for the three months ended June 30, 2026, up 93% from $1,003.697 million in the comparable 2025 quarter.
- Government revenue was $990.032 million, up 79% year over year.
- Commercial revenue was $945.432 million, up 110% year over year.
- Net income attributable to common stockholders was $1,061.890 million for the quarter.
- Diluted earnings per share were $0.41 for the quarter.
- Weighted-average diluted shares were 2,568.694 million for the quarter and 2,569.826 million for the six-month period.
- The filing states that diluted EPS includes the dilutive effect of stock awards under the treasury-stock method. Three million potentially dilutive stock-award equivalents were excluded because they were antidilutive.

- As of July 27, 2026, Palantir reported 2,300,713,329 Class A shares, 101,340,151 Class B shares, and 1,005,000 Class F shares outstanding.

Consequential assumptions

- Palantir can sustain unusually high growth long enough to justify a premium valuation.
- Commercial adoption will remain a major growth engine alongside government demand.
- Recent profitability is durable rather than primarily the result of a temporary combination of exceptional growth, operating leverage, or other income.
- The diluted weighted-average share count is a better starting convention for per-share valuation than basic period-end shares because employee awards create meaningful dilution.
- Cash and marketable securities should be evaluated separately before deciding how much is excess and available in the enterprise-to-equity bridge.
- A long-term investor requires a margin of safety because even strong operating performance may not produce attractive returns when the entry multiple already assumes exceptional execution.

Unknowns

- Palantir's intrinsic value per diluted share under base, upside, and downside scenarios.

- The growth and margin assumptions currently embedded in the market price.
- A normalized tax rate and the durability of current profitability.
- The amount of stock-based compensation and future dilution over the explicit forecast period.
- How much cash and marketable securities Palantir needs for operations versus how much should be treated as excess cash.
- The durability of government and commercial growth as the revenue base becomes larger.
- Customer concentration, contract-renewal risk, and the conversion of remaining performance obligations into revenue.

Research plan

1. Build historical revenue, operating-margin, free-cash-flow, and diluted-share trends from Palantir's primary filings.
2. Separate government and commercial revenue and test different growth-decay assumptions for each segment.
3. Normalize taxes, stock-based compensation, capital expenditures, and working-capital requirements.
4. Construct base, upside, and downside discounted-cash-flow scenarios using explicit revenue growth, margin, reinvestment, discount-rate, and terminal-value assumptions.
5. Complete an enterprise-to-equity bridge that separately identifies debt, cash, marketable securities, and any other non-operating claims or assets.

6. Compare the resulting per-share values with the market price on the valuation date and perform sensitivity analysis.
7. Investigate the falsification question and revise the thesis only after documenting contradictory as well as supporting evidence.

Falsification question

Can Palantir maintain enough revenue growth to justify its high valuation?

This matters because a major slowdown would weaken the investment thesis even if Palantir remained profitable.